

But in the VC space, sometimes there really is no success like failure. Plans do go awry once in a while, and Athera is no exception. Mehta reflects on their experience with Little Black Book (LBB), which worked on local business discoverability. It scaled up and got traction, till the pandemic hit. “With businesses remaining shut, revenues nosedived and survival became most important,” he says. There was a large and loyal customer base, and Athera decided to “conserve capital” and sold the business to Nykaa, ensuring investors did not lose their entire capital.

The other one that stands out is Power2SME, a B2B digital platform that helps SMEs access financial products and raw materials at a competitive price. Dhol says its two founders had great vision. The problem was that the business had low margins and long working capital cycles. “In such businesses, execution becomes key, and if one cannot capture market share quickly, competition can easily take charge. Pressure on profitability and the inability to scale up fast enough led to the investment being written off.”

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BIG OPPORTUNITY

How does Athera pick from the plethora of companies available? That is where a small team comes in handy. There is no luxury of a junior team, and Doshi emphasises Athera’s belief in the early-stage ecosystem. “If we are not interacting with the entrepreneurs there, how do we pick out the clues?” he asks.

An interesting demonstration of this approach is its investment in Pixxel, which operates and designs low-earth imagery satellites. In 2019, Dhol was asked to meet with two young entrepreneurs, who came with the reputation of being “bright guys”. Spacetech was a new area, and the business had to be understood. “They had nothing to show but a plan, and there was little money available. It was a case of a company where we had no expertise and we spoke to at least five people to understand it,” recalls Dhol. Within a month, a small monetary commitment was made. “We had never done space before, but we are not bound by a thesis. We finally went for it.”

If one has a feel for technology, it’s easy to spot an innovation early. Converting that to a robust business proposition is a big deal for the folks at Athera. Kumar points out that Athera went for both fintech and SaaS when there was no such term in the lexicon. The decision to invest in smart helmets and ac-



“Since [technology] cannot be replicated easily, that lays the base for differentiation. It is the moat around which businesses scale”

NAMAN VIJAY
CO-FOUNDER & CEO,
CLICKPOST



“Employee transportation was not a very big business, and we started off with Google as our first client before adding Microsoft”

DEEPESH AGARWAL
FOUNDER, MOVEINSYNC

cessories maker BluArmor was taken right after the pitch was made. “We liked the entrepreneur (Sundararajan Krishnan) and the words he used (‘I want to provide the highest cooling per watt of power that I consume’),” says Kumar.

Returns of 10x are perhaps far easier in the SaaS space, but BluArmor was a very different proposition. Athera had to first study the two-wheeler market, which threw up the number of helmets sold each month. They then looked at safety and innovation. “Music could be shared between the rider and pillion [rider]. They pivoted away from cooling but had the pulse of the consumer,” adds Kumar.

GETTING BETTER

Athera’s canvas is large because it takes a broad view. Dhol of Athera says we live in “a very specialised world, and multi-disciplinary problems need to be solved”. One manifestation of that view is the